Cuts Felt by All

How Obama's budget proposal could affect you in the short term and for years to come

Washington

Crumbling inner-city sidewalks, dirtier drinking water, more debt for some college students and higher heating costs for low-income families could be part of the legacy of President Obama's proposed budget. One way or another, his effort to save money in hundreds of programs might touch every American.

No rewrite of the family budget is called for at this point. Obama's plan is little more than a wish list, certain to be reshaped by Congress if it even goes anywhere. (Last year's wish list didn't.)

But it shows where Obama wants to go, how he proposes to get there and, to some extent, which spending cuts and increases he is willing to fight for in a Congress where Republicans want to cut far more.

SQUEEZING THE POOR

If you are an older worker looking for the government's help training for a new job, you might get a little nervous. Obama wants to halve a program that helps seniors with career or community service training.

Obama's budget would squeeze the poor on several fronts, the rich on one big front — their taxes — and others in scattered ways. People living in or needing public housing will take a hit if he gets his way. Obama wants to spend much less to maintain public housing and to build new homes for the elderly and disabled. He also wants to cut by half the grants that provide poorer families with substantial help paying their energy bills. And low-income students may feel a pinch with the plan to eliminate Pell grants for summer school.

A TAXING PROPOSITION

In his budget, Obama proposes once more to raise taxes on the rich, not just increasing their rates but limiting their charitable, mortgage-interest and state-tax deductions. He gave up trying to increase taxes on the wealthy in the last round of wrangling but is trying again.

Government is so complex and sprawling that multiple spending programs are often aimed at the same problem and it can be a fool's game trying to see how it will all shake out. Sometimes, it depends where you live.

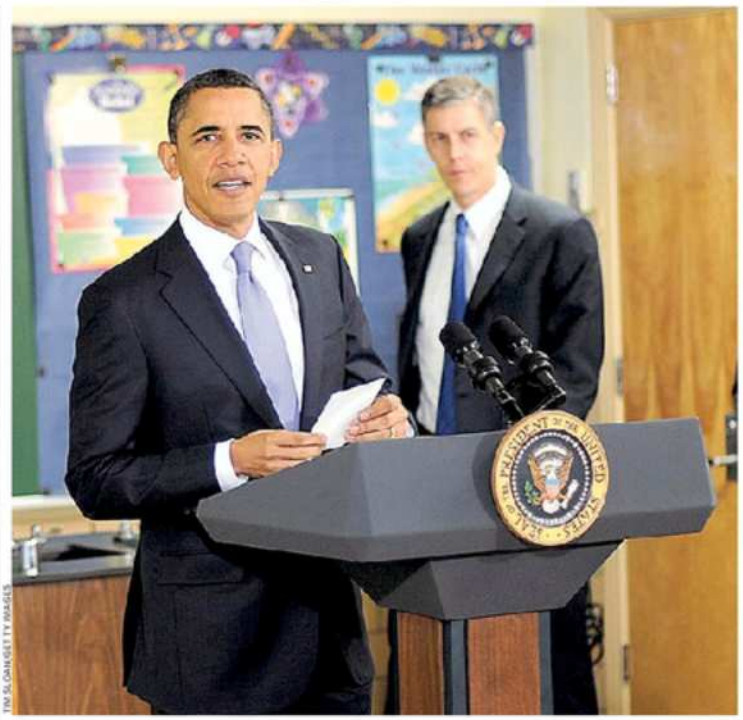
For example, Obama is seeking big cuts in grants that help states upgrade sewage treatment and drinking water systems. He also wants to do away with a clean-diesel program that his administration says removed tons of pollution and made people healthier. On the other hand, he wants to spend hundreds of millions more to help states meet sweeping air pollution regulations.

TIME WILL TELL

Obama proposes a whopping 68 percent increase in Transportation Department spending, with much of the money geared toward fixing highways and putting more people in high-speed trains. Yet the vision of smoother blacktop appears not to extend to all roads. Obama is proposing cuts in community development grants that hard-pressed mayors use for streets, sidewalks, water and sewers in poor neighborhoods.

Many of the changes would play out over time. His budget stuffs in billions to improve teaching in the years ahead and specifically to recruit 100, 000 math and science teachers over a decade, as well as to bring high-speed wireless to more of rural America. Health research is a big priority, with dividends to come down the road.

Much closer to the here and now is the proposed halving of the Low Income Home Energy Assistance Program. The program cut energy costs for more than 8 million families last year, and an estimated 3.2 million families could lose the subsidies. (AP)



TIM SLOAN/GETTY IMAGES

President Obama announces his budget proposal Monday during a news conference in Baltimore, Md.

$1.65T

Obama is projecting that the deficit will hit an all-time high of $1.65 trillion this year and then drops sharply to $1.1 trillion in 2012, with an expected improvement in the economy and as reductions in Social Security withholding and business taxes expire. (AP)

Winners

12%

Department Of Energy: In pursuit of boosting the number of electric cars on the road, Obama proposes $588 million, an 88 percent increase, for helping communities that invest in electric-vehicle infrastructure. He would also alter the $7,500 tax credit for buyers of electric vehicles, making it a tax rebate available immediately at the point of sale.

9%

Dept. of Veterans Affairs: Obama's proposed $58.8 billion for the agency includes $2 08 million to implement an expansion of benefits for those caring for service members severely wounded in the two wars. Critics note that the department has already missed a Jan. 31 deadline to fully implement the program.

11%

Department of Education: Much of the department's growth would support keeping the maximum Pell grant at $5,550 per year. E conomic troubles mean far more students are qualifying for the college-access program. Grant recipients are projected to increase from about 6 million in 2 008 to more than 9 million in 2 012 , putting major pressure on the federal budget.

Losers

$78B

Defense: The Pentagon would take a hit of $78 billion over the next five years, and defense spending would increase only for inflation thereafter. Combined with the drawdown in Iraq, overall military spending would be cut by 5 percent in 2 012 , compared with Obama's 2 011 request.

$1.3B

EPA: House Republicans are sharpening their knives to cut even more from an agency that plans to pressure big polluters to reduce greenhouse gas emissions. Already, the administration backpedaled slightly on funding the Great Lakes Restoration Initiative, cutting its budget by $12 5 million.

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Dept. of Interior: Cuts were made to construction projects in wildlife refuges, national parks, public lands and tribal areas. But Obama's pet project, generating 9,000 megawatts of energy through wind, geothermal and solar power, initiatives gained $73 million.

$3.2B

Dept. of Agriculture: The biggest hit — more than $1 billion — was to conservation programs that affect thousands of acres of both wetlands and farmlands in the U.S. (TWP)